

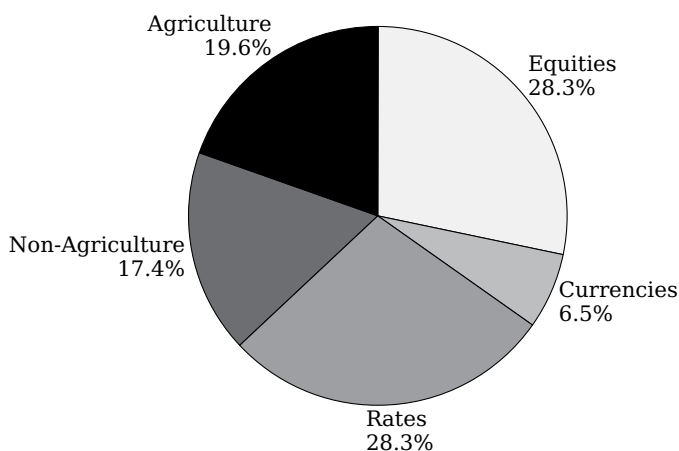


FIGURE 6.104 Sector allocation 2019.

With the stock markets taking off on the upside this year, our short exposure to that sector proved rather costly. As the markets gain 15% early on, we lose about the same amount. Not the kind of start we were hoping for. Our portfolio allocation adapts to the market conditions, as it always does, and we gradually recover from our lows (Figure 6.105). By October, we have caught up with the markets and we stand at about +10%, but that is before yet another ugly drop. Just when things finally look so good, we fall right back down and end the year with a 5% loss.

Losing 5% in a year is not a disaster by itself. That happens. But this was the fifth poor year in a row. Not the fifth consecutive loss, but five years

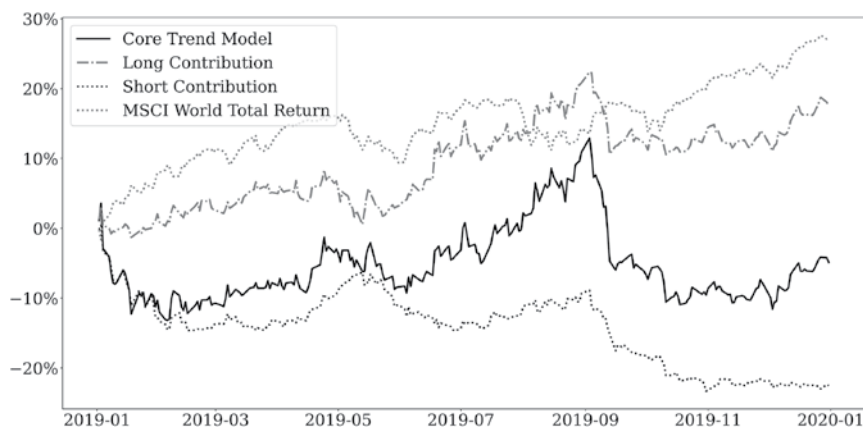


FIGURE 6.105 Strategy performance 2019.